

WARRANTS AS PART OF THE CAPITALIZATION STRUCTURE

Option warrants are essentially a device to give separate embodiment to the element of future prospects. But the right to benefit from future improvement or enhancement belongs inherently to the common stockholder. It is one of the important considerations that he receives in return for putting up his money and taking the "first risk" of loss. The basic fact about an option warrant, therefore, is that it represents *something that has been taken away* from the common stock. The equation is a simple one:

$$\text{Value of common stock} + \text{value of warrants} = \text{value of common stock alone}$$

(i.e., if there were no warrants).

Warrants Represent a Subtraction from the Related Stock. *Example:*

This point may be illustrated concretely by reference to the effect of the issuance of the Barnsdall warrants upon the value of the stock. The earnings reported for 1926 were \$6,077,000, or \$5.34 per share on 1,140,000 shares outstanding. However, there were also in existence warrants to buy 1,000,000 shares at \$25, the proceeds to be applied to retire \$25,000,000 of 6% bonds. The analyst should have assumed exercise of the warrants, thus reducing the 1926 earnings from \$5.34 to \$3.54 per share. In 1929, the warrants having actually been exercised, the earnings were \$3.25 per share, as against \$4.76 if there had been no warrants created. The average price of 35 for the year was equivalent to a value of 10 for the warrants. This meant, substantially, that about \$8 per share had been taken away from the value of the common stock (which otherwise would have been worth 43) by the creation of the warrants.

This illustration shows clearly that the effect of the creation of warrants is to diminish the benefits realized by the common from a large increase in the earnings or in the value of the business. Warrants to buy stock, even at a price above the market, therefore detract from the present value of the common stock, because part of this present value is based upon the right to benefit from future improvement.

A Dangerous Device for Diluting Stock Values. The option warrant is a fundamentally dangerous and objectionable device because it effects an indirect and usually unrecognized dilution of common-stock values. The stockholders view the issuance of warrants with indifference, failing to